

FUNDS MANAGER: Hey look, I'll buy it back from you. I'll buy my interest back.

MENDILLO: Great.

FUNDS MANAGER: Here, I think it's worth you know, today the [book] value is a dollar, so I'll pay you 50 cents.

MENDILLO: Then why would I sell it?

FUNDS MANAGER: Well, why are you? I don't know. You're the one who wants to sell, not me. If you guys want to sell, I'm happy to rip your lungs out. If you are desperate, I'm a buyer.

MENDILLO: Well, we're not desperate.

But in truth Harvard was desperate.

The reaction to Faust and Forst's cost-cutting memo was swift and sharp. Faculty, students, and alumni were incredulous. Alan Dershowitz, a famous professor at Harvard Law School, said:<sup>4</sup> "Apparently nobody in our financial office has read the story in Genesis about Joseph interpreting Pharaoh's dream. . . . You know, during the seven good years you save for the seven lean years."

All the short-term decisions for Harvard leaders and Mendillo at HMC were painful: slashing budgets, hiring freezes, and the postponement of the university's planned Allston science complex. Asset-liability management for Harvard University had failed. In the longer term, was the endowment model with illiquid, alternative assets still appropriate?

## 2. Illiquid Asset Markets

### 2.1. SOURCES OF ILLIQUIDITY

Vayanos and Wang (2012) provide a taxonomy of how illiquidity arises due to market imperfections:

#### 1. Clientele effects and participation costs

Entering markets can be costly; investors often must spend money, time, or energy to learn their way around and gain the necessary skills. In many large, illiquid asset markets, only certain types of investors with sufficient capital, expertise, and experience can transact.

#### 2. Transaction costs

These include commissions, taxes, and, for certain illiquid assets, the costs of due diligence, title transfers, and the like, as well as the bread-and-butter costs incurred for trading. It also includes fees paid to lawyers, accountants, and investment bankers. Academics sometimes assume that investors can

<sup>4</sup> Quoted by Munk, N., "Rich Harvard, Poor Harvard," *Vanity Fair*, August 2009.